

Answer Key

Full answers and workings for `Model_Questions.md` and the "Check yourself" questions in each chapter of notes.

Chapter 8: Irrecoverable Debts and Allowance for Receivables

Multiple choice

Q	Answer	Reason
8.1	B	The expense account is debited; the customer's account is credited to remove the debt.
8.2	B	Prudence: do not overstate the value of trade receivables.
8.3	B	New allowance $30,000 \times 4\% = 1,200$. Change = $1,200 - 1,000 = 200$ increase, an expense.
8.4	C	Irrecoverable debts recovered is other income.
8.5	C	The allowance reduces trade receivables under current assets.

8.6 (4 marks, any two differences, 2 marks each)

- An irrecoverable debt is a **certain** loss. An allowance is an **estimate** of possible losses.
- An irrecoverable debt relates to a **named** customer. An allowance is not linked to any one customer.
- Writing off an irrecoverable debt closes the customer's account. The allowance does not change customer accounts.
- The full irrecoverable debt is an expense. Only the **change** in the allowance goes to the SPL.

8.7 (3 marks)

Date	Details	Dr \$	Cr \$
2025 Mar 1	Irrecoverable debts	750	
	Tomas		750
	<i>Debt written off as Tomas has been declared bankrupt</i>		

8.8 (Level 1)

a) Journal

Date	Details	Dr \$	Cr \$
2025 Mar 31	Irrecoverable debts	350	
	Peter		350
2025 Sep 30	Irrecoverable debts	200	
	Jane		200

b) Irrecoverable debts account

Dr		\$	Cr		\$
2025 Mar 31	Peter	350	2025 Dec 31	Income statement	550
Sep 30	Jane	200			
		550			550

c) Profit falls by \$550. Trade receivables fall by \$550.

8.9 (Level 2)

a) $24,000 - 800 = \text{\$23,200}$

b) $23,200 \times 5\% = \text{\$1,160}$

c) Statement of Profit or Loss extract

Expenses	\$
Irrecoverable debts	800
Allowance for irrecoverable debts (created this year)	1,160

d) Statement of Financial Position extract

Current assets	\$	\$
Trade receivables	23,200	
Less: Allowance for irrecoverable debts	1,160	22,040

e) Prudence.

8.10 (Level 3)

a) Journal

Details	Dr \$	Cr \$
Lucy	250	
Irrecoverable debts recovered		250
<i>Debt written off in 2024 reinstated</i>		
Bank	250	
Lucy		250
<i>Cheque received from Lucy</i>		

b) New allowance = $26,000 \times 4\% = \text{\$1,040}$. Change = $1,040 - 900 = \text{\$140 increase}$ (expense).

c) Allowance for irrecoverable debts account

Dr		\$	Cr		\$
2026 Jun 30	Balance c/d	1,040	2025 Jul 1	Balance b/d	900
			2026 Jun 30	Income statement	140
		1,040			1,040
			2026 Jul 1	Balance b/d	1,040

d) Statement of Profit or Loss extract

	\$
Add other income: Irrecoverable debts recovered	250
Less expenses: Irrecoverable debts	400
Less expenses: Increase in allowance for irrecoverable debts	140

Overall these items reduce profit by $400 + 140 - 250 = \$290$.

e) Statement of Financial Position extract

Current assets	\$	\$
Trade receivables	26,000	
Less: Allowance for irrecoverable debts	1,040	24,960

8.11 (Level 4)

a) Allowance required

Year	Trade receivables after write-offs	x 3%	Allowance
2023	40,000	3%	1,200
2024	50,000	3%	1,500
2025	36,000 - 1,000 = 35,000	3%	1,050

b) SPL effect

Year	Calculation	SPL
2023	1,200 - 0	Expense 1,200 (creating the allowance)
2024	1,500 - 1,200	Expense 300 (increase)
2025	1,050 - 1,500	Income 450 (decrease)

c) Allowance for irrecoverable debts account

Dr		\$	Cr		\$
2023 Dec 31	Balance c/d	1,200	2023 Dec 31	Income statement	1,200
2024 Dec 31	Balance c/d	1,500	2024 Jan 1	Balance b/d	1,200
			2024 Dec 31	Income statement	300
		1,500			1,500
2025 Dec 31	Income statement	450	2025 Jan 1	Balance b/d	1,500
2025 Dec 31	Balance c/d	1,050			
		1,500			1,500
			2026 Jan 1	Balance b/d	1,050

d) SFP extract at 31 December 2025

Current assets	\$	\$
Trade receivables	35,000	
Less: Allowance for irrecoverable debts	1,050	33,950

8.12 (Level 5)

a) Correct trade receivables

	\$
Trade receivables in the books	41,500
Less: Kim's debt written off	(1,500)
Add: correct the \$300 wrongly credited to trade receivables	300
Correct trade receivables	40,300

The \$300 was wrongly taken off trade receivables. The correction is debit trade receivables \$300, credit irrecoverable debts recovered \$300.

b) Allowance required = $40,300 \times 5\% = \$2,015$. Change = $2,015 - 2,500 = \$485$ decrease. This is **income** in the Statement of Profit or Loss.

c) Corrected profit

	\$
Draft profit	18,000
Less: Kim's irrecoverable debt	(1,500)
Add: Irrecoverable debts recovered	300
Add: Decrease in allowance	485
Corrected profit	17,285

d) Allowance for irrecoverable debts account

Dr		\$	Cr		\$
2025 Dec 31	Income statement	485	2025 Jan 1	Balance b/d	2,500
Dec 31	Balance c/d	2,015			
		2,500			2,500
			2026 Jan 1	Balance b/d	2,015

e) Statement of Financial Position extract

Current assets	\$	\$
Trade receivables	40,300	
Less: Allowance for irrecoverable debts	2,015	38,285

f) Evaluation (3 marks)

- For: a bigger allowance is more cautious, so assets and profit are less likely to be overstated.
- Against: the allowance must be a **reasonable estimate** based on experience. 20% is far above what Hamid has lost in the past, so profit and trade receivables would be **understated**. The statements would no longer be reliable, and a sudden change breaks **consistency**.
- Conclusion: Hamid should keep a realistic percentage (about 5% here) and change it only if his experience of bad debts changes. Prudence means **do not overstate**; it does not mean understate on purpose.

Check yourself (Chapter 8 notes)

1. Debit Irrecoverable debts \$450, credit the customer's account \$450.
2. New allowance $32,000 \times 2.5\% = 800$. Change $800 - 900 = 100$ decrease. Credit \$100 to the SPL as income.
3. Prudence and accruals (matching).

Chapter 10: Tangible Non-current Assets and Depreciation

Multiple choice

Q	Answer	Reason
10.1	B	Buying a non-current asset is capital expenditure. The others are running costs.
10.2	A	$(25,000 - 5,000) / 5 = 4,000$.
10.3	B	Year 1: $50,000 \times 20\% = 10,000$. NBV 40,000. Year 2: $40,000 \times 20\% = 8,000$.
10.4	B	NBV = $15,000 - 9,000 = 6,000$. Proceeds 5,000. Loss 1,000.
10.5	C	A rise in market price does not reduce the asset's usefulness.

10.6 (4 marks)

- To match the cost of the asset against the revenue it helps earn each year. Concept: **accruals (matching)**.
- To avoid overstating the value of non-current assets and profit. Concept: **prudence**.

10.7 (2 marks)

$$2,000 + 800 - 2,100 = \$700$$

10.8 (3 marks)

Reducing balance. A vehicle loses most value in its early years. Repairs are low when it is new and rise as it gets older. High depreciation early plus low repairs, and low depreciation later plus high repairs, spreads the total cost more evenly.

10.9 (Level 1)

a) $(18,000 - 3,000) / 5 = \$3,000$ per year

b)

Year	Depreciation \$	Accumulated depreciation \$	NBV at end of year \$
2024	3,000	3,000	15,000
2025	3,000	6,000	12,000

c) Statement of Financial Position extract at 31 December 2025

Non-current assets	Cost \$	Acc. dep. \$	NBV \$
Delivery van	18,000	6,000	12,000

d) Wear and tear (passage of time is also accepted).

10.10 (Level 2)

a) $22,000 + 600 + 900 = \$23,500$

b)

Item	Classification	Reason
Purchase price	Capital	Buying a non-current asset
Delivery	Capital	Cost of getting the asset ready for use
Installation	Capital	Cost of getting the asset ready for use
Insurance for first year	Revenue	Running cost used up within the year
Repair after six months	Revenue	Keeps the machine working; does not improve it

c) Expenses are \$900 too high, so profit is **understated by \$900**. Non-current assets are **understated by \$900**.

10.11 (Level 3)

a) Full year charge = $12,000 \times 10\% = 1,200$.

- 2025: 1 April to 31 December = 9 months. $1,200 \times 9/12 = \$900$
- 2026: full year = **\$1,200**

b) NBV at 31 December 2026 = 12,000 - 900 - 1,200 = **\$9,900**

c) Journal

Date	Details	Dr \$	Cr \$
2025 Dec 31	Income statement (depreciation)	900	
	Provision for depreciation of machinery		900
	<i>Depreciation for 9 months at 10% per year on cost</i>		

d) 2,000 + 800 - 2,100 = **\$700**

e) Loose tools are many small, low cost items. Keeping a record and a depreciation calculation for each tool would take too long, so the business counts and values them at the year end instead.

10.12 (Level 4)

a) and b) Reducing balance at 25%

Year	NBV at start	Depreciation 25%	Accumulated depreciation	NBV at end
2023	40,000	10,000	10,000	30,000
2024	30,000	7,500	17,500	22,500
2025	22,500	5,625	23,125	16,875

NBV at 31 December 2025 = **\$16,875**

c) Machinery disposal account

Dr		\$	Cr		\$
2026 Jan 1	Machinery	40,000	2026 Jan 1	Provision for depreciation	23,125
			Jan 1	Bank	15,000
			Dec 31	Income statement (loss on disposal)	1,875
		40,000			40,000

Check: proceeds 15,000 - NBV 16,875 = loss 1,875.

d) The loss of \$1,875 is an **expense** in the Statement of Profit or Loss.

10.13 (Level 5)

a) Depreciation charge (20% of cost)

Year	Van A	Van B	Total \$
2023	25,000 x 20% = 5,000	not owned	5,000
2024	5,000	30,000 x 20% = 6,000 (full year in year of purchase)	11,000
2025	none (year of sale)	6,000	6,000

b) Provision for depreciation of vans account

Dr		\$	Cr		\$
2023 Dec 31	Balance c/d	5,000	2023 Dec 31	Income statement	5,000
2024 Dec 31	Balance c/d	16,000	2024 Jan 1	Balance b/d	5,000
			2024 Dec 31	Income statement	11,000
		16,000			16,000
2025 Oct 1	Disposal (Van A)	10,000	2025 Jan 1	Balance b/d	16,000
2025 Dec 31	Balance c/d	12,000	2025 Dec 31	Income statement	6,000
		22,000			22,000
			2026 Jan 1	Balance b/d	12,000

Van A's accumulated depreciation = 5,000 (2023) + 5,000 (2024) = 10,000.

c) Disposal of van account

Dr		\$	Cr		\$
2025 Oct 1	Vans (Van A cost)	25,000	2025 Oct 1	Provision for depreciation	10,000
			Oct 1	Bank	12,000
			Dec 31	Income statement (loss on disposal)	3,000
		25,000			25,000

Check: NBV = 25,000 - 10,000 = 15,000. Proceeds 12,000. Loss 3,000.

d) Statement of Financial Position extract at 31 December 2025

Non-current assets	Cost \$	Acc. dep. \$	NBV \$
Vans (Van B)	30,000	12,000	18,000

e) Advice (3 marks)

- The **consistency** concept says Kwame should use the same method every year.
- He may change the method only if the new method gives a fairer view of how the vans lose value, and he must explain the change.
- Changing the method just to make profit look higher would mislead users and make this year's profit impossible to compare with earlier years. He should not change.

Check yourself (Chapter 10 notes)

1. Cost = 3,000 + 200 = 3,200. 3,200 / 4 = **\$800 per year**.
2. Year 1: 16,000 x 25% = 4,000, NBV 12,000. Year 2: 12,000 x 25% = 3,000, NBV **\$9,000**.
3. 4,600 - 4,000 = **profit of \$600**.

Chapter 11: Accruals and Prepayments

Multiple choice

Q	Answer	Reason
11.1	B	The business owes the money.
11.2	C	$5,200 + 400 = 5,600$.
11.3	A	$2,400 + 500 - 600 = 2,300$.
11.4	C	The business owes the tenant a service (use of the property).
11.5	C	Accruals (matching).

11.6 (2 marks)

The expense is understated by \$600, so profit is **overstated** by \$600. Current liabilities are also understated by \$600.

11.7 (3 marks)

Monthly cost = $4,800 / 12 = 400$. October to December = 3 months.

- Expense = $3 \times 400 = \text{\$1,200}$
- Prepayment = $9 \times 400 = \text{\$3,600}$ (current asset)

11.8 (Level 1)

a) Rent expense = $12 \times 800 = \text{\$9,600}$. Rent owing = $9,600 - 8,800 = \text{\$800}$.

b) Insurance expense = $1,800 - 300 = \text{\$1,500}$.

c) Rent owing: **current liabilities** (other payables). Insurance prepaid: **current assets** (other receivables).

d) Accruals (matching).

11.9 (Level 2)

a) Electricity account

Dr		\$	Cr		\$
2025 Mar	Bank	600	2025 Dec 31	Income statement	2,230
Jun	Bank	550			
Sep	Bank	500			
Dec 31	Balance c/d (owing)	580			
		2,230			2,230
			2026 Jan 1	Balance b/d	580

b) Insurance account

Monthly cost = $2,400 / 12 = 200$. July to December = 6 months used = 1,200. January to June 2026 = 6 months prepaid = 1,200.

Dr		\$	Cr		\$
2025 Jul 1	Bank	2,400	2025 Dec 31	Income statement	1,200
			Dec 31	Balance c/d (prepaid)	1,200
		2,400			2,400
2026 Jan 1	Balance b/d	1,200			

c)

- Current assets: other receivables (insurance prepaid) **\$1,200**
- Current liabilities: other payables (electricity owing) **\$580**

11.10 (Level 3)

a) Rent income = $12 \times 600 = \mathbf{\$7,200}$. Received in advance = $7,800 - 7,200 = \mathbf{\$600}$.

b) Rent receivable account

Dr		\$	Cr		\$
2025 Dec 31	Income statement	7,200	2025	Bank	7,800
Dec 31	Balance c/d (in advance)	600			
		7,800			7,800
			2026 Jan 1	Balance b/d	600

c) Commission income = $2,100 + 350 = \mathbf{\$2,450}$.

d) Other receivables (commission due) **\$350**, current asset. Other payables (rent received in advance) **\$600**, current liability.

e) Profit would be **overstated by \$600**.

11.11 (Level 4)

a)

Item	Calculation	SPL \$
Wages	$18,000 - 300 + 450$	18,150 (expense)
Rates	$1,600 + 200 - 250$	1,550 (expense)
Commission receivable	$3,000 + 250$	3,250 (other income)

b) Wages account

Dr		\$	Cr		\$
2025-26	Bank	18,000	2025 Apr 1	Balance b/d	300
2026 Mar 31	Balance c/d	450	2026 Mar 31	Income statement	18,150
		18,450			18,450
			2026 Apr 1	Balance b/d	450

c)

- Other receivables = 250 rates prepaid + 250 commission due = **\$500**
- Other payables = 450 wages owing = **\$450**

11.12 (Level 5)

a) Amounts for the Statement of Profit or Loss

Item	Working	\$
Insurance	750 (Jan to Mar) + 3,600 x 9/12 (Apr to Dec) = 750 + 2,700	3,450
Rent	6 x 1,000 + 6 x 1,200 = 6,000 + 7,200	13,200
Wages	21,000 - 400 + 650	21,250
Rent received	4,500 - 300 - 500	3,700

b) Corrected profit

	Cash used in draft \$	Correct figure \$	Adjustment \$
Draft profit			32,000
Insurance	3,600	3,450	+150
Rent	13,000	13,200	-200
Wages	21,000	21,250	-250
Rent received	4,500	3,700	-800
Stationery unused			+120
Corrected profit			31,020

c) Statement of Financial Position

Other receivables (current assets)	\$
Insurance prepaid (3,600 x 3/12)	900
Stationery unused	120
Total	1,020

Other payables (current liabilities)	\$
Rent owing (13,200 - 13,000)	200
Wages owing	650
Rent received in advance	500
Total	1,350

d) Insurance account

Dr		\$	Cr		\$
2025 Jan 1	Balance b/d	750	2025 Dec 31	Income statement	3,450
Apr 1	Bank	3,600	Dec 31	Balance c/d (prepaid)	900
		4,350			4,350
2026 Jan 1	Balance b/d	900			

Check yourself (Chapter 11 notes)

1. $24,000 + 800 = \text{\$24,800}$.
2. $1,500 / 15 = 100$ per month. 3 months belong to next year. Prepayment = **\\$300**.
3. Current liabilities (other payables).

Chapter 12: Fundamental Accounting Principles and Concepts

Name the concept

Q	Concept
12.1	Business entity
12.2	Historical cost
12.3	Consistency
12.4	Materiality
12.5	Realisation
12.6	Money measurement
12.7	Duality
12.8	Going concern
12.9	Accruals (matching)
12.10	Prudence

12.11 (3 marks)

Prudence means assets and profits should not be overstated, and liabilities and losses should not be understated. Losses are recorded as soon as they are likely; profits are recorded only when earned. Example: creating an allowance for irrecoverable debts, or valuing inventory at the lower of cost and net realisable value.

12.12 (3 marks)

Going concern assumes the business will continue trading for the foreseeable future, so assets are shown at cost less depreciation. If the business were **not** a going concern, assets would be shown at the amount they would raise if sold now (often much lower).

12.13 (4 marks, any two)

- **Relevance:** the information helps users make decisions and is available in time.
- **Reliability:** the information is free from errors and bias and can be checked.
- **Comparability:** it can be compared with earlier years and other businesses.
- **Understandability:** it is clear to users with reasonable knowledge.

12.14 (3 marks)

NRV = $1,800 - 300 = 1,500$. Cost = 2,000. Lower of cost and NRV = **\$1,500**. Concept: **prudence**.

12.15 (Level 1)

- a) Business entity. b) Historical cost. c) Duality. d) Money measurement. e) Consistency.
- f) Any one of: relevance, reliability, comparability, understandability.

12.16 (Level 2)

- a) **Business entity.** The holiday is a private expense of the owner. The business is separate from the owner, so it is drawings, not a business expense.
- b) **Realisation.** Revenue is recorded when the goods pass to the customer (29 December 2025), not when cash is received.
- c) **Materiality.** \$8 is too small to affect any decision. Treating it as a non-current asset and depreciating it is not worth the effort.
- d) **Historical cost.** Assets are recorded at the price paid. Cost is objective and backed by documents; the \$120,000 is only an estimate.

12.17 (Level 3)

a)

Item	Cost \$	NRV \$	Lower value \$
A	1,200	$1,800 - 100 = 1,700$	1,200
B	900	$950 - 200 = 750$	750
C	2,000	$2,500 - 300 = 2,200$	2,000
D	600	250	250
Total	4,700		4,200

- b) Closing inventory falls from 4,700 to 4,200. Cost of sales rises by \$500, so gross profit **falls by \$500**.

c) Prudence. Inventory is valued at the lower of cost and net realisable value. Expected losses on items B and D are recorded now, so assets and profit are not overstated.

12.18 (Level 4)

Part	Concept not followed	Why	Correct treatment
a	Consistency	Switching methods to smooth profit makes years impossible to compare and misleads users.	Choose the method that suits the asset and use it every year. Change only for a good reason and explain it.
b	Business entity	The car loan is the owner's private debt, not the business's.	Record the payment as drawings.
c	Realisation	The goods have not passed to the customer, so the revenue has not been earned.	Record the sale in February 2026 when the goods are delivered.
d	Accruals (matching)	December electricity was used in 2025, so it is a 2025 expense even though unpaid.	Add \$400 to the electricity expense and show \$400 in other payables.
e	Historical cost (also prudence and realisation)	Premises must stay at cost. The \$50,000 gain has not been earned by a sale.	Keep premises at \$100,000 and do not add \$50,000 to profit.

12.19 (Level 5)

a) Going concern basis

	\$
Premises	80,000
Equipment	20,000
Inventory	15,000
Trade receivables (12,000 - 600)	11,400
Bank	3,000
Total assets	129,400
Less: Trade payables and loan (8,000 + 25,000)	33,000
Net assets	96,400

b) Closing-down basis

	\$
Premises	95,000
Equipment	6,000
Inventory	9,000
Trade receivables	10,500
Bank	3,000
Total assets	123,500
Less: Trade payables and loan	33,000
Net assets	90,500

c) The **going concern** concept assumes the business will continue, so assets are shown at cost less depreciation because they will be used, not sold. If the business closes, assets must be valued at what they would raise now. Equipment and inventory sold quickly fetch much less, so net assets fall by \$5,900.

d) Historical cost and prudence (realisation is also accepted: the gain has not been earned by a sale).

e) Any two, with a reason:

- Owner: to decide whether to close or keep trading.
- Bank or lender: to see whether the \$25,000 loan will be repaid.
- Suppliers (trade payables): to see whether they will be paid.
- Employees: to judge whether their jobs are safe.

Check yourself (Chapter 12 notes)

1. Business entity.
2. Consistency.
3. $NRV = 1,500 - 100 = 1,400$. Cost = 1,200. Value at the lower: **\$1,200**.

Statement of Profit or Loss and Statement of Financial Position

Multiple choice

Q	Answer	Reason
FS.1	B	Delivery costs to customers are an expense.
FS.2	C	Drawings reduce the owner's capital.
FS.3	A	$5,000 + 30,000 - 1,000 + 500 - 6,000 = 28,500$.
FS.4	C	It is repayable on demand.
FS.5	B	$18,000 - 7,500 = 10,500$.

FS.6 (Level 1)

a) Lina's Shop: Statement of Profit or Loss for the year ended 31 December 2025 (extract)

	\$	\$
Revenue		60,000
Less: Sales returns		1,000
Net revenue		59,000
Less: Cost of sales		
Opening inventory	4,500	
Add: Purchases	38,000	
Less: Purchases returns	(800)	
Add: Carriage inwards	500	
	42,200	
Less: Closing inventory	(5,200)	
		37,000
Gross profit		22,000

b) Carriage inwards is the cost of bringing purchased goods into the business. It is part of the cost of buying the goods, so it belongs in cost of sales.

FS.7 (Level 2)

a) Omar: Statement of Financial Position at 31 December 2025

	Cost \$	Acc. dep. \$	NBV \$
Non-current assets			
Premises	50,000	0	50,000
Motor vehicle	15,000	5,000	10,000
	65,000	5,000	60,000
Current assets			
Inventory		6,000	
Trade receivables		7,500	
Bank		2,300	
Cash		200	
		16,000	
Current liabilities			
Trade payables		4,800	
Net current assets			11,200
			71,200
Non-current liabilities			
Loan			10,000
Net assets			61,200
Capital			
Opening capital			55,000
Add: Profit for the year			14,200
			69,200
Less: Drawings			8,000
Closing capital			61,200

b) Working capital = 16,000 - 4,800 = **\$11,200**

c) A current liability must be paid within 12 months (for example trade payables). A non-current liability is repayable after more than 12 months (for example a loan repayable in 2029).

FS.8 (Level 3)

Workings: Rent 4,400 + 400 = 4,800. Insurance 1,200 - 200 = 1,000. Depreciation 10,000 x 10% = 1,000. Accumulated depreciation 2,000 + 1,000 = 3,000.

a) **Nadia's Crafts: Statement of Profit or Loss for the year ended 31 December 2025**

	\$	\$
Revenue		52,000
Less: Cost of sales		
Opening inventory	3,000	
Add: Purchases	30,000	
	33,000	
Less: Closing inventory	(3,500)	
		29,500
Gross profit		22,500
Less expenses		
Wages	8,000	
Rent	4,800	
Insurance	1,000	
General expenses	900	
Depreciation: fixtures	1,000	
		15,700
Profit for the year		6,800

b) Nadia's Crafts: Statement of Financial Position at 31 December 2025

	Cost \$	Acc. dep. \$	NBV \$
Non-current assets			
Fixtures	10,000	3,000	7,000
Current assets			
Inventory		3,500	
Trade receivables		5,000	
Other receivables (insurance prepaid)		200	
Bank		2,600	
		11,300	
Current liabilities			
Trade payables		3,100	
Other payables (rent owing)		400	
		3,500	
Net current assets			7,800
Net assets			14,800
Capital			
Opening capital			14,000
Add: Profit for the year			6,800
			20,800
Less: Drawings			6,000
Closing capital			14,800

FS.9 (Level 4)

Workings

Working	Calculation	\$
W1 Electricity	2,300 + 250	2,550
W2 Insurance	1,600 - 400	1,200
W3 Rent received	2,400 - 200	2,200
W4 New allowance	9,000 x 4%	360
W4 Change	360 - 500 = decrease (income)	140
W5 Depreciation motor vehicles	(24,000 - 6,000) x 20%	3,600
W5 Acc. dep. motor vehicles	6,000 + 3,600	9,600
W6 Depreciation fixtures	8,000 x 10%	800
W6 Acc. dep. fixtures	2,000 + 800	2,800
W7 Other payables	250 electricity + 200 rent in advance	450

a) Ben's Bikes: Statement of Profit or Loss for the year ended 30 June 2026

	\$	\$
Revenue		82,000
Less: Sales returns		800
Net revenue		81,200
Less: Cost of sales		
Opening inventory	6,200	
Add: Purchases	45,000	
Less: Purchases returns	(900)	
Add: Carriage inwards	400	
	50,700	
Less: Closing inventory	(7,100)	
		43,600
Gross profit		37,600
Add: Rent received (W3)	2,200	
Add: Decrease in allowance for irrecoverable debts (W4)	140	2,340
		39,940
Less expenses		
Wages	12,600	
Electricity (W1)	2,550	
Insurance (W2)	1,200	
Advertising	1,200	
Irrecoverable debts	350	
Depreciation: motor vehicles (W5)	3,600	
Depreciation: fixtures (W6)	800	
		22,300
Profit for the year		17,640

b) Ben's Bikes: Statement of Financial Position at 30 June 2026

	Cost \$	Acc. dep. \$	NBV \$
Non-current assets			
Motor vehicles	24,000	9,600	14,400
Fixtures	8,000	2,800	5,200
	32,000	12,400	19,600
Current assets			
Inventory		7,100	
Trade receivables	9,000		
Less: Allowance for irrecoverable debts	360	8,640	
Other receivables (insurance prepaid)		400	
Bank		3,150	
		19,290	
Current liabilities			
Trade payables		5,300	
Other payables (W7)		450	
		5,750	
Net current assets			13,540
Net assets			33,140
Capital			
Opening capital			23,000
Add: Profit for the year			17,640
			40,640
Less: Drawings			7,500
Closing capital			33,140

Net assets = Closing capital = \$33,140. The statement balances.

FS.10 (Level 5)

Workings

Working	Calculation	\$
W1 Electricity	$2,100 + 300$	2,400
W2 Rent and rates	$6,300 - 500$	5,800
W3 Commission received	$1,200 + 250$	1,450
W4 Irrecoverable debts	$450 + 400$	850
W4 Trade receivables	$14,000 - 400$	13,600
W5 New allowance	$13,600 \times 5\%$	680
W5 Change	$680 - 600 = \text{increase (expense)}$	80
W6 Equipment cost remaining	$30,000 - 5,000$	25,000
W6 Provision remaining before this year	$12,000 - 3,000$	9,000
W6 Depreciation	$(25,000 - 9,000) \times 20\%$	3,200
W6 Accumulated depreciation	$9,000 + 3,200$	12,200
W7 Loss on disposal	NBV $(5,000 - 3,000)$ 2,000 - proceeds 1,500	500
W8 Loan interest	$8,000 \times 6\%$	480
W9 Other receivables	500 prepaid + 250 commission due	750
W10 Other payables	300 electricity + 480 interest	780

a) Disposal account

Dr		\$	Cr		\$
2026 Mar 31	Equipment	5,000	2026 Mar 31	Bank	1,500
			Mar 31	Provision for depreciation	3,000
			Mar 31	Income statement (loss on disposal)	500
		5,000			5,000

b) Kofi Traders: Statement of Profit or Loss for the year ended 31 March 2026

	\$	\$
Revenue		98,000
Less: Sales returns		1,200
Net revenue		96,800
Less: Cost of sales		
Opening inventory	7,400	
Add: Purchases	54,000	
Less: Purchases returns	(1,000)	
Add: Carriage inwards	700	
	61,100	
Less: Closing inventory	(8,100)	
		53,000
Gross profit		43,800
Add other income		
Discount received	650	
Commission received (W3)	1,450	2,100
		45,900
Less expenses		
Wages	15,500	
Rent and rates (W2)	5,800	
Electricity (W1)	2,400	
Carriage outwards	900	
Discount allowed	350	
Irrecoverable debts (W4)	850	
Increase in allowance for irrecoverable debts (W5)	80	
Depreciation: equipment (W6)	3,200	
Loss on disposal (W7)	500	
Loan interest (W8)	480	
		30,060
Profit for the year		15,840

c) Kofi Traders: Statement of Financial Position at 31 March 2026

	Cost \$	Acc. dep. \$	NBV \$
Non-current assets			
Premises	40,000	0	40,000
Equipment (W6)	25,000	12,200	12,800
	65,000	12,200	52,800
Current assets			
Inventory		8,100	
Trade receivables (W4)	13,600		
Less: Allowance for irrecoverable debts (W5)	680	12,920	
Other receivables (W9)		750	
Cash		150	
		21,920	
Current liabilities			
Trade payables		8,200	
Other payables (W10)		780	
Bank overdraft		1,800	
		10,780	
Net current assets			11,140
			63,940
Non-current liabilities			
Loan			8,000
Net assets			55,940
Capital			
Opening capital			50,100
Add: Profit for the year			15,840
			65,940
Less: Drawings			10,000
Closing capital			55,940

Net assets = Closing capital = \$55,940. The statement balances.

Check yourself (Financial Statements notes)

1. $5,000 + 30,000 - 1,000 + 500 - 6,000 = \text{\$28,500}$.
2. $18,000 - 7,500 = \text{\$10,500}$.
3. $40,000 + 12,000 - 9,000 = \text{\$43,000}$.